

25PSCV02929 25PSCV02929

County: los-angeles

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Case Number: 25PSCV02929 Hearing Date: July 30, 2026 Dept: G

Defendant Blue Hill Specialty Insurance Co.

Inc.'s Motion to Set Aside Default

Respondent: Plaintiff Karla Garduno

Defendant Blue Hill Specialty Insurance Co.

Inc.'s Motion for Reconsideration and/or to Vacate the Court's April 29, 2026

Order

Respondent:

Plaintiff Karla Garduno

Plaintiff

Karla Garduno's Motion for Reconsideration, or in the Alternative, for
Clarification

Respondent:

Defendant Blue Hill Specialty Insurance Co. Inc.

TENTATIVE

RULING

Defendant

Blue Hill Specialty Insurance Co. Inc.'s Motion to Set Aside Default is
GRANTED.

Defendant

Blue Hill Specialty Insurance Co. Inc.'s Motion for Reconsideration is GRANTED.

Plaintiff

Karla Garduno's Motion for Clarification is GRANTED.

BACKGROUND

This

is an action for insurance protection. On

October 1, 2022, plaintiff Karla Garduno (Garduno) rode in a motor vehicle as the passenger of defendant Lionel Chavez (Chavez), driving on behalf of rideshare company defendant Uber Technologies, Inc. (Uber). During the trip, the motor vehicle of nonparty Ricardo Ramos (Ramos) collided with that of Chavez, injuring Garduno. At the time of the collision, defendants Blue Hill Specialty Insurance Co. Inc. (Blue Hill) and Progressive Insurance Co. (Progressive) allegedly had insurance policies afforded to cover Garduno's injuries from the collision. However, Blue Hill and Progressive allegedly failed to provide Garduno with the full benefits under the insurance contract(s).

On

June 16, 2025, Blue Hill filed a Petition in the uninsured motorist action (case no. 25PSCP00333).

On

August 12, 2025, Garduno filed the Complaint in this action (case no. 25PSCV02929), alleging causes of action for (1) breach of insurance contract, (2) breach of the implied covenant of good faith and fair dealing, (3) unfair insurance business practices in violation of Insurance Code section 790.03, (4) unfair business practices in violation of Business and Professions Code sections 17200 and 17500, (5) unjust enrichment, and (6) fraud. (The first cause of action was subsequently dismissed.)

On

April 29, 2026, the court issued a tentative ruling denying a motion to compel arbitration under Code of Civil Procedure section 1281 and granting the motion under the doctrine of equitable estoppel.

In response to the court's tentative, Garduno dismissed the first cause of action for breach of contract, and the court modified the tentative ruling to deem moot the motion for arbitration under the doctrine of equitable estoppel. The court's final ruling reflects that the motion to compel arbitration is denied under Section 1281 and

deemed moot under equitable estoppel but omits a ruling on the request for a stay of proceedings.

On

May 8, 2026, Blue Hill filed a motion for reconsideration, or in the alternative, to vacate order. On June 9, 2026, Garduno filed the oppositions (one in this action and one in the uninsured motorist action), and on June 15, 2026, Blue Hill filed the reply.

On

May 11, 2026, Garduno filed a motion for reconsideration, or in the alternative, for clarification. On June 9, 2026, Blue Hill filed the opposition, and on June 15, 2026, Garduno filed the reply.

On

May 19, 2026, the court entered default against Blue Hill.

On

June 23, 2026, the court continued the hearing on the motions for reconsideration pending the resolution of Blue Hill's default.

On

July 6, 2026, Blue Hill filed a motion to set aside entry of default. On July 16, 2026, Garduno filed the opposition, and on July 23, 2026, Blue Hill filed the reply.

This

case is set for a case management conference, an order to show cause re: failure to file proof of service, a hearing on motions to compel further discovery responses (setting date only), a continued hearing on the motions for reconsideration, and a hearing on the motion to set aside entry of default on July 30, 2026. (There is also a continued hearing on a motion to compel further deposition and a motion for protective order in the uninsured motorist action set for hearing on the same date.)

MOTION

TO SET ASIDE ENTRY OF DEFAULT

Blue

Hill seeks to set aside the entry of default against it on the grounds that it

is void, or alternatively, based on attorney mistake. For the following reasons, the court GRANTS the motion.

Legal Standard

The court may relieve a party from a voidable judgment or order if the application is made within a reasonable time, six months at the longest. (Code Civ. Proc., § 473, subd. (b), emphasis added.) “The court may . . . set aside any void judgment or order” at any time. (Code Civ. Proc., § 473, subd. (d), emphasis added.)

Discussion

Blue Hill argues that the entry of default is void because its time to file a responsive pleading did not expire. The court agrees.

The court may enter default against a defendant if they have been properly served but nevertheless failed to file a responsive pleading “within the time specified in the summons[] or within further time as may be allowed.” (Code Civ. Proc., § 525, subds. (a)–(b).) However, if the court prematurely enters default against the defendant, then the default is void. (See *Baird v. Smith* (1932) 216 Cal. 408, 410, stating, “Examination of the authorities satisfies us that . . . a default prematurely taken[] is void and may be set aside at any time.”)

The court deemed Blue Hill’s motion to compel arbitration moot on April 29, 2026 and ordered it “to file a Responsive Pleading within twenty-days from the date of expiration of the Appeal.” (4/29/2026 Min. Order, p. 2.) The court reminded Blue Hill to “file a responsive pleading as required” and noted that “no extension of time has been given to file said pleading.” (5/15/2026 Min. Order, p. 2.) Blue Hill had twenty (20) days after the dismissal of a petition to compel arbitration, until May 19, 2026, to file a notice of appeal. (See Cal. Rules of Court, rule 8.712(b).) When a party

files a motion for reconsideration of an appealable order, the deadline to appeal is continued to 30 days after denial of reconsideration, or 90 days after the order, whichever is earlier. (See Cal. Rules of Court, rule 8.108(e).) Absent a timely appeal, Blue Hill had fifteen (15) days after the court deemed its motion to compel arbitration moot to file a responsive pleading. (See Code Civ. Proc., § 1281.7.)

As mentioned above and below, Blue Hill's motion for reconsideration invites the court to reconsider Blue Hill's motion to compel arbitration and request for a stay. The court did not deny reconsideration, and 90 days have not passed since the court deemed the motion to compel moot. (See 4/29/2026 Min. Order, p. 1.) Since the time to appeal did not yet expire, Blue Hill's time to file a responsive pleading did pass. Thus, the entry of default was premature and is void.

Accordingly, the court GRANTS the motion to set aside default. Since the court finds the entry of default was void as premature, the court HOLDS IN ABEYANCE the parties' arguments as to service of the request for entry of default and attorney mistake.

MOTIONS FOR RECONSIDERATION

Blue Hill seeks reconsideration of court's April 29, 2026 order denying the motion to compel arbitration and omitting the issue of staying proceedings. Garduno seeks clarification of the court's April 29, 2026 order in the uninsured motorist action concerning discovery. For the following reasons, the court GRANTS both motions for reconsideration.

Legal Standard

Code of Civil Procedure section 1008 "specifies the court's jurisdiction with regard to applications for reconsideration of its orders and renewals of previous motions and applies to all applications to reconsider any order of a judge or court, or for the renewal of a previous motion, whether the order deciding the

previous matter or motion is interim or final.

No application to reconsider any order or for the renewal of a previous motion may be considered by any judge or court unless made according to this section.” (Code Civ. Proc., § 1008, subd. (e).)

Section

1008 sets out two means by which a party can seek reconsideration of a prior trial court order. First, “[w]hen an application for an order has been made to a judge, or to a court, and refused in whole or in part, or granted, or granted conditionally, or on terms, any party affected by the order may, within 10 days after service upon the party of written notice of entry of the order and based upon new or different facts, circumstances, or law, make application to the same judge or court that made the order, to reconsider the matter and modify, amend, or revoke the prior order.” (Code Civ. Proc., § 1008, subd.

(a).) Second, “A party who originally made an application for an order which was refused in whole or part, or granted conditionally or on terms, may make a subsequent application for the same order upon new or different facts, circumstances, or law, in which case it shall be shown by affidavit what application was made before, when and to what judge, what order or decisions were made, and what new or different facts, circumstances, or law are claimed to be shown.” (Code Civ. Proc., § 1008, subd. (b).)

A

court has the authority to “amend and control its process and orders so as to make them conform to law and justice.”

(Code Civ. Proc., § 128, subd. (a)(8).)

When jurisdiction is conferred on a court, all the means necessary to carry its jurisdiction into effect are also given, including the authority to amend judgments and orders. (Code Civ.

Proc., § 187; see *McClellan v. Northridge Park Townhome Owners Assn., Inc.* (2001) 89 Cal.App.4th 746, 753–756.) The court may also correct clerical mistakes in its judgment or orders sua sponte or based on a party’s motion. (Code Civ. Proc., § 473, subd. (d).)

Discussion

Blue

Hill's Motion for Reconsideration

Blue

Hill argues that the court's April 29, 2026 order incorrectly mooted the request for a stay of proceedings. The court agrees.

Pursuant

to the parties' discussion with the court, Garduno dismissed the first cause of action for breach of contract without prejudice, the court denied the motion to compel arbitration under Code of Civil Procedure section 1281, the court deemed moot the motion to compel arbitration under the doctrine of equitable estoppel, and the parties agreed to arbitrate the uninsured motorist claim. (See 4/29/2026 Min. Order, pp. 1–2; see also 4/29/2026 Order Re: Court's Final Ruling, pp. 1–3.) The court struck the portions of the final ruling concerning Blue Hill's request for a stay of proceedings. (See 4/29/2026 Order Re: Court's Final Ruling, p. 3.) Since the parties agreed to arbitrate the uninsured motorist claim, the court should not have struck the portions of its ruling regarding the stay of proceedings.

Therefore,

the court GRANTS the motion for reconsideration and STAYS these proceedings pending completion of arbitration.

Garduno's

Motion for Reconsideration

Garuno

argues that the court's ruling granting Blue Hill's discovery motions in the uninsured motorist action creates a risk of contradictory discovery rulings. The court agrees.

The

court ordered Garduno to comply with Blue Hill's discovery request in the uninsured motorist action. (See 25PSCP00333 4/29/2026 Min. Order, pp. 1–2; see also 25PSCV00333 Order Re: Court's Final Ruling, pp. 1, 3, 5.)

However, the court's rulings in this bad faith action concerning arbitration do not mention how the court and arbitrator will handle discovery issues. (See 4/29/2026 Min. Order, pp. 1–2.) Since there are multiple proceedings concerning the same legal issues, the court acknowledges there is a

risk of contradictory discovery rulings.

To avoid potential conflicts, the court will (1) stay proceedings and discovery as they relate to the bad faith claims and (2) decide the discovery issues that arise in the arbitration proceeding regarding the uninsured motorist claims.

Therefore, the court GRANTS the motion for clarification.

CONCLUSION

For these reasons, defendant Blue Hill Insurance Co. Inc.'s motion to set aside default is GRANTED.

Defendant Blue Hill Insurance Co. Inc.'s motion for reconsideration is GRANTED. These proceedings are STAYED pending arbitration.

Plaintiff Karla Garduno's motion for clarification is GRANTED. The court will decide the discovery issues that arise in the arbitration proceeding, and the arbitration will be bound by the court's discovery rulings.